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Green Zebra: Grow Fast or Grow Slow? Case B

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CEO Lisa Sedlar (See **Figure 1**) had announced plans in 2018 to rapidly expand her Green Zebra Grocery into the Seattle market and then along the West Coast. This was an ambitious plan as the Portland, Oregon operation, launched in 2013, was currently comprised of only three stores in local Portland communities. While often compared to a convenience store (c-store), the grocery was an innovative chain of healthy neighborhood stores that focused on organically sourced, high quality and healthy convenience food. Despite positive publicity since launch,¹ Sedlar's recent pitches to the venture capital (VC) community for expansion financing had not provided encouraging results. They were reluctant to finance a venture that did not have positive cash flows and concern was expressed about the competitive trends in the grocery sector. It was Fall of 2019, and Green Zebra's CFO informed Sedlar that there was only enough cash to fund operations for the next 120 days. Interest payments on existing debt were several months in arrears and suppliers were asking for more timely payments. Whether Green Zebra expanded or not, additional financing was needed soon to secure their survival.

It was in this environment that Sedlar considered her options for scaling back plans for rapid growth. Her original plan of simultaneous local and regional expansion had been reduced to two alternative growth options: a debt-financed single-store expansion in Portland, or a minimum three-store expansion to Seattle, funded by venture capital. A Portland expansion would slow growth in the near-term, but Sedlar was convinced the addition of a store would allow operations to achieve profitability more quickly and allay concerns expressed by potential funders. Sedlar was worried, though, that this slower growth approach could permanently limit later rapid expansion as similar competitors moved into West Coast markets. The Seattle expansion, she believed, would result in a better negotiating position for future VC funding but came with significant ownership dilution. How much was control worth to her? Did the local expansion offer a more balanced lifestyle? As she mulled these possibilities, she considered whether growth at any cost was worth it or whether "perhaps being a strong, local company with fewer stores was an attractive alternative to fast growth."

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Figure 1. Lisa Sedler, CEO of Green Zebra Market



Sept 16, 2019: Lisa Sedlar, CEO of Green Zebra Market named by INC Magazine as one of the top 100 most innovative female founders in America.²

INDUSTRY CONDITIONS

The c-store sector in 2019 was highly competitive and characterized by a fragmented yet consolidating industry structure. The market share of larger, established grocery brands had been eroded by smaller, specialty grocers that continued to attract customers. The trend was expected to continue as the c-store sector increasingly expanded the foodservice side of their business with healthy alternatives.³ This consolidation and exit from the industry brought with it a decline in average per-store revenue between 2014 and 2019 (**Exhibit 1**). For the same period, overall food industry growth averaged 2.0%.⁴

For those c-stores not selling gasoline, the product mix in a typical c-store leaned heavily towards groceries, tobacco products, and alcoholic beverages (**Exhibit 2**). In 2017 gross margins averaged 25.2% of sales. The highest margin products were typically candy (50.7%), tobacco (45.0%) and alternative snacks (48.3%). Despite the shift into a healthier product mix and a trend in rising per capita income, annual c-store growth was forecast to slow to 1.4% over the 2019 – 2024⁵ forecast period.

The outlook for growth was cautious as competitive conditions had intensified in recent years and larger players were buying up smaller ones. Low barriers to entry and low concentration contributed to the intensity of competition. New entrants were evolving the c-store concept and large players had added grocery and fresh deli markets to their store offerings. Since 2017 Amazon launched c-stores in the Seattle and San Francisco markets⁶ and other larger players announced plans to enter the market with their own evolved c-store concepts. This included, for example, Target's *Fresh Express*, Kroger's *Express*, Dollar General's 'Grab & Go' and Walmart's move into a smaller footprint convenience store offering. Further intensifying competition, Amazon, in 2018, announced 'Amazon Go', a high-tech, convenience store with a healthy product mix and cashier-less checkout. Amazon forecasted 3,000 locations in the US by 2021.⁷

GREEN ZEBRA

Named after the Green Zebra heirloom tomato, Green Zebra was at the forefront of both the healthy food and convenience trends. The store vision was of a European style organic grocer, locally owned and operated, with deep roots in the local community. The ‘Zeeb’, as it was affectionately referred to by the community, had supported over 100 different, local non-profits. Of these, 30 community organizations addressed food insecurity across the Portland metro area.⁸ These partnerships exemplified its mission-driven orientation.

Nearly 30% of product offerings were locally sourced in the Pacific Northwest. While initially categorized as a healthy alternative to a c-store, Sedlar believed the store identity embraced more than that – it was part deli, part grocery, part coffee shop. As Sedlar described it, “we are a cross between Whole Foods, Starbucks, and 7-Eleven”. Green Zebra’s market niche, Sedlar believed, would allow it to attract sales and provide strong margins by offering an attractive combination of lifestyle, convenience, and healthy focus (**Exhibit 3**). Margins for organic offerings, along with deli and coffee, were typically higher than margins on conventional c-store offerings⁹ (**Exhibit 4**). As organic suppliers become more commonplace in the food chain, the gap between organic and conventional margins was narrowing.¹⁰ While Green Zebra’s positioning promised to offer higher margins, it also made comparisons to the typical c-store problematic. Further complicating the comparisons, Green Zebra carried no tobacco, lotto tickets, or sugary drinks.

In creating Green Zebra, Sedlar leveraged her extensive experience in the grocery industry, first at Whole Foods and then as President and CEO of New Seasons, an upmarket Oregon-based grocery store with healthy, locally sourced offerings. Her background as a chef and unerring instincts for what motivated shopper purchases contributed to her vision of the type of store that would be successful in the rapidly evolving grocery market. With the launch of Green Zebra, Sedlar’s objective was to build a chain of urban c-stores tailored to the specific needs of each neighborhood, whether in terms of deli offerings, store shelf mix, or bike parking. While possibly a higher cost strategy, she believed customer loyalty and higher margins from her product strategy would offset the cost. The stores were envisioned as a neighborhood gathering place where patrons would stop in for a locally roasted coffee, made-to-order deli-foods, or a kombucha on tap. Located in high-density walkable neighborhoods, the Portland chain sought to encourage multiple purchases throughout the week, and ultimately, throughout the day. Sedlar estimated that Green Zebra shoppers spent on average \$10 to \$12 per visit compared to the non-fuel c-store industry average of around \$8. Transactions in their most recently opened store averaged 1,500 per day.

Green Zebra stores married locally sourced produce and grocery items with a premium deli operation. While their largest supplier for healthy and organic food was a national chain that operated in all states, Green Zebra sourced in the local community whenever possible. Store assortment included organic produce, ready-to-drink beverages, locally sourced wine, and craft beer. Each location included a premium coffee bar as well as an on-premise kitchen used to prepare fresh, gourmet soups, salads, sandwiches and packaged grab-and-go meals that could be heated up at home. The organic salad bar was the number one seller in the stores.

Green Zebra’s sales had steadily increased to the point that by 2019 stores were profitable at the operational level within twenty four to thirty-six months after opening. Store level operations covered specific store labor, occupancy, store depreciation and inventory (**Exhibit 4**). Interest expense was part of corporate expenses, along with

other corporate-level operating expenses such as general marketing, senior management payroll and technology expenses (**Exhibits 5 & 6**). At all levels of operations, Sedlar's commitment to employees translated into above minimum-wage pay levels and full health care benefits for both part- and full-time employees. The value to Green Zebra was increased loyalty and a lower turnover in a highly competitive labor market. Moreover, while the benefits package contributed to higher costs, they were central to Sedlar's view of a need for a deliberate connection between business, its stakeholders, and the community. As she noted, "Higher investment in wage and benefits is either impressive or stupid. But I believe until our government gets it together for a single payer program, business has a responsibility to take care of their employees."

GREEN ZEBRA HISTORY

Leadership. Despite nearly two decades of experience in the grocery sector, Sedlar had come to realize that launching a c-store startup was an entirely different endeavor. Managing day-to-day operations had to be balanced with securing needed funding to underwrite operations and growth. To address this, Sedlar assembled a highly talented management team for Green Zebra. While not by design, a search for the best capabilities resulted in a senior leadership team comprised entirely of women. This included Ana Andueza, Green Zebra's CFO, an immigrant from the Basque Country, and the first in her family to complete high school, college, and ultimately an MBA. Her father, initially a shepherd in Eastern Oregon, had instilled in her a strong work ethic and a keen drive towards continuous improvement. This drive was passed on to her daughters, one who most recently completed her first year at Harvard's MBA program. Andueza's professional work experience included an accounting career that started with Deloitte, a subsequent move to a large specialty finance company in Portland, and ultimately to working with start-ups as a 'CFO to go', providing on-demand, highly sophisticated accounting and financial services on an as-needed basis. In this role Sedlar shared, "she had frequently faced aggressive equity capital guys and always held her own". Andueza participated extensively in the local Portland angel community and provided equity investment to select clients. The CFO in an entrepreneurial firm plays an indispensable role in enabling the CEO's vision and provides essential strategic support beyond developing budgets and forecasts. Not only is this traditional expertise tapped. Additionally, a start-up CFO is integrated into the complex role of managing risk, finding flexible financing, and providing strategic support for CEO decision making¹¹ Sedlar believed that in this respect "Andueza excelled".

Board of Directors. Green Zebra's talent pool extended to the 5-seat Board of Directors which was comprised of individuals with broad industry and investing experience. Three seats were currently filled, one by Sedlar, and the Board size was considered appropriate for current operations. Sedlar provided operational and strategic direction to Green Zebra and was supported by the other experienced Board members. As a whole, the community of stakeholders Sedlar brought together were, as Andueza noted, "committed to her vision, enthusiasm, and extraordinary leadership."

Stores and Funding. The first Green Zebra store opened in 2013 in the Kenton community, an urban-residential Portland location. This was followed by a second

store, Lloyd, located in an urban-office location, in May of 2016. Less than a year later, a smaller store opened adjacent to a university campus in downtown Portland. Each store was opened on a shoe-string budget. As Andueza reflected upon Green Zebra's history of financing, she observed

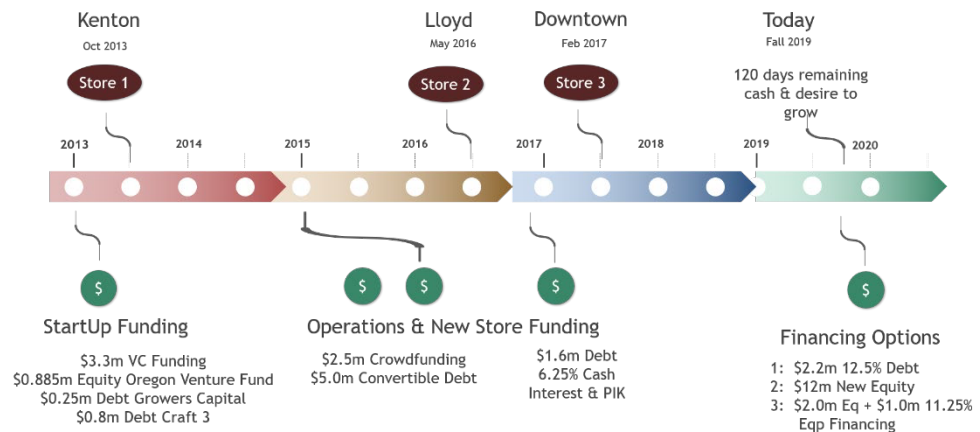
Given startups by nature are not 'bankable', Green Zebra relied heavily on capital from investors and landlords. We were fortunate in obtaining some bank and equipment financing along the way. Each new location allowed our Green Zebra team to hone the business model towards profitability and more convenience by going smaller and moving away from food 'prepare-to-order' to a more 'grab and go' model.

Initially, Green Zebra was financed with investments made by Sedlar, her friends, and family. As planning progressed, Green Zebra tapped into angel and crowdsourced funding.¹² Funding of \$885,000 was secured in 2013 after Green Zebra was successfully pitched to the Oregon Venture Fund, Oregon's largest angel funding network. That money was used to build out store operations, fund marketing, and to bring on key hires for the first store. Additional equity funding was provided in 2014 and 2015 by various investors. CircleUp,¹³ a crowdsourced funding platform that linked investors with privately held small business, provided a significant component of this funding. As Sedlar reflected back on her experience with CircleUp, she could see only one downside to crowdsourcing,

We added 30 or so people to our investor pool with the CircleUp investment, each putting in \$25k. That meant that our cap table¹⁴ dramatically expanded as did the demands of managing that size investor pool. I'm trying to be sensitive to the early investors who take such a HUGE risk when they put money in startup. They often get wiped out by future funding rounds, particularly when equity investors favor growth to push up valuation. My strategy is growth through customer-driven innovation rather than growth with a short-term emphasis on valuation. The bottom line is that balancing investor and customer needs is as much art as science.

Debt financing played a crucial role in providing funds to Green Zebra. Grocers Capital and Craft3, a Northwest nonprofit that provided loans to strengthen community resilience, were tapped in the early years for debt financing. When debt financing was available, Green Zebra utilized forms that reduced the amount of cash interest required. For debt funding of \$1.6m, secured in 2017, the terms specified 6.25% cash interest with the remaining interest of 5.0% paid-in-kind (PIK) interest due at maturity. Convertible debt, totaling approximately \$5 million by 2019, was secured at various times over 2016-2019. The funds were used to support current store operations and to fund additional c-store locations in the Portland market. The convertible debt holders were supportive of Green Zebra and by the terms of the debt indenture, conversion of all outstanding convertible debt was due at the end of 2020. At conversion, new equity shares would be issued to the convertible debt holders, who would have a minority stake in the firm. Although Sedlar's ownership position would be reduced, her control influence would be maintained through her shares and alliances with existing shareholders. As a result of conversion, total debt would decrease by \$5 million and equity capital would increase by \$5 million. **Figure 1** summarizes the funding and store launch history of Green Zebra.

Figure 2: Green Zebra Selected Financing & Store Milestones



In raising funds, Sedlar believed it was important to find the right partner, whether with equity or debt financing. This was exemplified in 2018 when she walked away from a venture capital offer of \$10 million, in part because the terms required that new shares receive 10 votes per share. If the deal had been completed, Sedlar's voting rights would have been reduced significantly from the roughly 30% controlling position she held at that time. Of equal, or more, concern to Sedlar was the fact the investor had major holdings in e-cigarettes, which did not fit with Green Zebra's healthy branding.

Partnerships with real estate developers provided an essential source of financing to Green Zebra. All three stores were leased and each store opening saw increasing proportions of tenant improvement allowances. The urban rental market favored ground floor retail tenants who added to a sense of community. Accordingly, urban real estate developers were attracted by the alignment between their projects and Green Zebra's target customer. By the time Sedlar announced plans to expand along the West Coast, inquiries from developers attracted to her healthy c-store concept had begun coming in what she described as "on almost a daily basis" and the allowance package offered became more generous. When the first Green Zebra store opened in 2013, allowances comprised a small portion of the original investment. As a result of her early success, Sedlar estimated the benefits of current real estate development partnerships were much higher in 2019 and reduced her out-of-pocket expansion costs to just under a million dollars per new store location. For example, a Portland real estate developer had recently offered to pay a tenant improvement (TI) allowance of \$1.2M in a prime high-density location. That location was on the ground floor of a 125-unit condo building that was under construction. The landlord viewed Green Zebra as a valuable anchor tenant amenity for the development.

These lease arrangements reduced investment outlays. Nonetheless they were not without consequence. If the tenant terminated early, the tenant was liable for full recovery of the remaining lease payments.

Despite tapping into innovative sources over its short history, raising funds for the envisioned stage of rapid growth had been a challenge. Sedlar and Andueza had met with over 120 potential investors since expansion plans were announced. Despite strong store-level revenue growth and positive store-level cash flows, the investors could not see past the negative cash flows of the consolidated operation. Sedlar wondered if this weak reception was due in part to VC capital preferring to invest in men, as some research had suggested.¹⁵ Even the Board was stymied by the lack of

new investment flows and the apparent stalling of confidence in the concept. As one Board member put it “I’ve always lost money when I’ve invested with men; I never lose when I invest with women, and I’m confident Lisa will not disappoint.”

THE ALTERNATIVES – WHICH PATH FORWARD?

Realistically, Andueza had to also consider whether funds were available for the survival of Green Zebra, let alone expansion. While both existing lenders and suppliers had been generous in working with Green Zebra, Sedlar worried that this cooperation could disappear if they stretched the relationships much further. And, although real estate partnerships offered an opportunity to expand with less financing, they were not sufficient by themselves to fund a store. In Fall of 2019 it was not clear to either Sedlar or Andueza that enough financing was available to Green Zebra to fund both rapid expansion and current operations on reasonable terms.

Weighing the options facing Green Zebra, Sedlar commented to Andueza, “If we stayed here in Portland and added 1 more store – that’s one scenario. Alternatively, we need to contrast that level of growth with a decision to go down to LA or Seattle, open up a new market, acquire customers, and so on. How do these options compare?” Each option would take the Zeeb in substantially different directions.

Sedlar believed she needed to move rapidly to determine the path forward. In addition to evaluating the sufficiency of funds for current operations, Sedlar wanted to reexamine the feasibility and financing needs of the two strategies she was contemplating: the 1-store local expansion in Portland or the minimum 3-store expansion to the Seattle market. Due to familiarity with the market and regional sourcing, it was decided that Seattle would be the first expansion market. A Seattle expansion could take advantage of regional organic suppliers to both markets and leverage Sedlar’s extensive experience in organic grocery.

1-Store Portland Expansion. A recent analysis of a 1-store Portland expansion revealed an acceptable payback and net present value. While the forecast 2019 balance sheet reflected the estimated investment cost, and financing it with a \$0.92 million of new debt, the decision had been put on hold due to funding concerns. What Andueza had to determine was whether available financing was sufficient to support both current operations and a new Portland store until positive cash flow was achieved. At that point the rapid growth strategy could be revisited.

If Green Zebra moved forward with a fourth store commitment late in Q4 2019, sales for the new store would commence in January 2020. Minimal pre-launch costs were anticipated due in part to community sourced advertising from a local high school. Existing stores would contribute prelaunch labor without additional cost.

Sales for the resulting 4-store Portland chain were forecast to reach \$17.1 million in 2020, and grow to \$20.4 million by 2024, accounting for both inflationary and real growth. After the fourth store reached full capacity in 2024, a 1% growth was forecast in the final years. Cost of goods sold for the resulting 4-stores was expected to drop to 59.5% in 2020 and fall to 58% by 2022. An additional one percentage point drop in COGS was considered a real possibility if efficiencies in corporate operations were achieved as the new store scaled. Due to economies created by the new store, and as a result of improved store processes, total payroll & benefits were forecast at 25.3% of sales in 2020, and projected to fall to 24.0% of sales by 2022. In the early years, Green Zebra had focused on getting stores open and generating sales. As they had grown and become more ‘grab and go’ convenience oriented, the full service requirements of

the store were reduced relative to the recent past. This was reflected in the lower labor costs and cost of goods sold. Total advertising and marketing costs were estimated at 1.0% of sales in 2020 and beyond. As a result of technology and other process improvements, occupancy and other expenses were estimated to fall to 14.0% of sales in 2020 and level off at 12.3% by 2024.

Upon completion of the 2020 debt conversion, interest expense for the remaining debt was forecast at \$170,000 for year-end 2020. Green Zebra's line of credit was expected to be maintained at \$45,000 in the future. Due to tax loss carryforwards, a flat \$15,000 tax amount was forecast for the next six years. This amount reflected the minimum tax required by the State of Oregon for any Oregon business, whether profitable or not. Receivables, prepaid expenses, and other long-term assets were expected to remain at 2019 levels over the forecast period. To forecast the financing needs of the combined 4-store operation, Andueza summarized key assumptions for the post-expansion operation (**Exhibit 7**).

Expansion into Seattle. Sedlar's alternative plan was to test an expansion strategy into the Seattle market and then rapidly scale into new markets along the West Coast. An initial 3-store launch was envisioned, supported by a venture capital raise. Additional Seattle store openings would be determined by the availability of funds remaining after the three store investment and funding of current operations. With a successful Seattle expansion, and established proof of concept, Sedlar believed future VC funding would be readily available for subsequent scaling along the West Coast.

Sedlar believed they had evolved a repeatable business model for Green Zebra. Over time, optimal store size had been reduced to 4,000 to 5,000 square feet and the labor content of stores had fallen, reducing payroll costs. Despite these improved efficiencies, store operations were able to maintain the high-touch Zeeb approach. The experience of Green Zebra in the Portland area had validated the efficiencies of a 3-store operation, especially in terms of store siting, product sourcing and shared labor across locations. Although the timeline associated with store build-out and permitting would vary location-by-location, the experience in Portland provided rough assumptions to work from to forecast the expansion process and operational ramp. This faster growth strategy might delay profitability but it could preserve Green Zebra's first mover advantage in the increasingly competitive healthy c-store sector that had emerged in urban markets.

Assuming partnerships with real estate developers, CFO Andueza estimated Green Zebra's investment outlay for a single Seattle store at \$1.25 million, after tenant allowances. The higher investment outlay reflected the reality of higher costs in the Seattle market. Each store was assumed to have an economic life of 6 years after which significant investment in a store refresh would be required. New stores would be depreciated over a 5-year MACRS life.¹⁶ Total site selection costs were estimated to run \$100,000 in a new market and were typically expensed. Each store would require prelaunch operating expenses of \$94,100 and a one-time opening advertising expense of \$7,700. Per store net working capital was expected to average one percent of revenues in all years and be based upon year ahead sales revenue. The initial investment in working capital would occur in the period before store opening.

Per store revenues in the first year of operation were forecast at \$4.5 million, with growth rates of ten percent in the subsequent two years before falling to five percent in the fourth year. In the fifth and sixth years, revenue growth was forecast at two percent and one percent, respectively. Due to Green Zebra's store experience in recent years, operating costs for the new stores were estimated to be higher in the early years

and then fall as stores scaled operations. For example, cost of goods sold of 60.0 percent, estimated for the first year of operation, were forecast to fall to approximately 58.0 percent by the sixth year. First year store level expenses, as a percent of sales were also expected to follow this pattern, with store-level payroll estimated at 18.9% while occupancy & other expenses, were estimated at 11.5 percent of sales. By the last year, 2025, payroll costs were estimated to fall to 18.0%. Due to high real estate costs in Seattle, occupancy costs, as a percent of sales, were expected to remain flat. Advertising and marketing were essential to building a community image. Due to the new market region, these store-level costs were forecast at 1.0% of sales. The ongoing capital constraints faced by Green Zebra meant that Andueza required a minimum payback period of 24 – 36 months in addition to a positive net present value (NPV). While a positive NPV was important, an early return of investment capital was considered essential to support operations and provide for future expansion.

Andueza employed a zero tax rate at the store level as profitability was not expected to exceed tax loss carryforwards during the six years of the forecast period. The current level of corporate overhead was sufficient to support between ten and twelve new stores in any market before additional investments in technology and personnel were needed.

FINANCING OPTIONS

The two growth strategies required appreciably different levels of investment outlays and funding over the next six years. In either case, it was important to Sedlar to maintain control of the strategic direction of her Green Zebra, have reasonable financing terms, and protect initial investors. Explaining her concern to Andueza,

One of the immediate things I'm trying to determine is how much we should raise in equity versus how much we should bring in with a debt instrument. I want to be in a place where I'm in control of the terms of the term sheet. With one of the recent term sheets I was reviewing, the valuation wasn't horrible but the terms that went along with it were too restrictive.

Due to Green Zebra's lack of profitability and existing debt, limited financing choices were available. Andueza identified two financing options the investment community was likely to provide. The first option, targeted to finance the 1-store expansion, was a bridge loan of \$2.2 million with an upfront fee of \$180,000. The loan carried a 12.5% coupon interest, half of which would be paid in cash, and the other half deferred until maturity (often noted as paid-in-kind interest (PIK) debt). The loan, due in 12-18 months, had no amortization of principal and was available immediately. A one-time 18 month term extension was negotiable if the 4-store Portland operations was nearing profitability by the end of the loan term. A second option was being sought from venture capital sources. If secured, it provided \$12 million of new equity in return for two new positions on the Board (increasing the authorized size of the Board to 7 seats) and equity ownership shares carrying 1 vote per share (**Exhibit 8**). Current directors would remain on the Board. This VC funding was not obtainable in a smaller increment as the investors sought immediate new-region expansion. While it was thought highly likely to advance in the near future, negotiations were ongoing and the deal had not been secured.

A third possibility involved \$2 to \$3 million of financing, and consisted of \$1.5 – \$2.5 million in new equity and \$0.5 - \$1.0 million of equipment financing which carried an interest rate of 11.5%. While there had been interest from a handful of equity

investors, Andueza considered this source unlikely. Nonetheless, she continued to pitch investors to raise interest in this smaller amount of equity funding.

The expansion choice and its financing would have to be sufficient to cover both expansion and the cash burn from current operations until a cash breakeven was achieved. Meanwhile, the Board of Directors expressed a desire for Green Zebra to reduce debt financing to thirty percent of capital within the next three years and maintain it at that level thereafter, regardless of the chosen strategy.

Andueza also realized that any financing with equity required a clear view of the valuation of Green Zebra's operations. To assist her analysis, she collected financial and valuation data for publicly traded firms in similar market segments (**Exhibit 9**) along with current market rates (**Exhibit 10**). To provide a broader view of valuation, she included firms in addition to those in the positioning matrix and added metrics she thought might lend insight to her analysis.¹⁷

STRATEGIC DECISION – GROW FAST OR GROW SLOW?

In Fall of 2019 the crucial question was how best to grow Green Zebra given limited financing – with a rapid expansion into the Seattle market or a local, smaller expansion in Portland? In either case, the financing-investment option chosen would have to support both the expansion and current operations. If not, Green Zebra would not survive. To assist her, Sedlar asked Andueza, Green Zebra's CFO, to prepare forecasts for the two alternatives.

Specifically, Sedlar wanted to evaluate the two expansion strategies and the primary funding option that had been identified for each. She posed three specific questions to CFO Andueza:

1. Was the bridge loan sufficient to finance both current operations and a 1-store local expansion? An estimate of financing requirements associated with the resulting operations over 2020-2025 was needed to provide an understanding of how long it might take for a Portland 4-store operation to generate positive cash flows for growth.
2. Did a Seattle expansion meet the investment criteria used by Green Zebra and how risky was the expansion?
3. How did each expansion option compare in terms of the timing and magnitude of the external funding needs and what other considerations were important to the decision?

Of paramount importance to Sedlar was how each alternative compared in terms of its ability to enable the survival of the Green Zebra concept and allow Sedlar to retain a leadership role in the organization. These considerations had to be weighed against the backdrop of competitive pressures and the difficulty of seeking future VC funds if Green Zebra did not attain profitability. With these estimates in hand, Sedlar believed she would be prepared to determine whether a 1-store expansion in Portland or a faster, 3+ store expansion to Seattle was the best path forward.

Exhibit 1 - Green Zebra Convenience Store Financial Metrics, 2015 – 2019-Q2

	2014	2015	2016	2017	2018	2019-Q2
Avg Revenue, per store	3,270,854	4,084,965	3,867,284	3,284,232	2,216,948	2,102,850
Sales Per Employee	238,752	236,052	244,595	249,413	252,950	255,709
Percent of Sales:						
Cost of Sales	75.1%	74.9%	74.9%	74.8%	74.9%	75.2%
Gross Margin	24.9%	25.1%	25.1%	25.2%	25.1%	24.9%
Wages	9.2%	9.1%	9.6%	10.7%	10.3%	10.0%
Financial Ratios:						
Cash Flow-Solvency	2014	2015	2016	2017	2018	2019-Q2
Accounts Payable/Revenue	2.7	3.6	3.5	4.0	3.2	3.2
Current Ratio	1.7	1.6	1.5	1.5	1.8	1.9
Net Working Capital/Revenue	0.0	0.0	0.0	0.0	0.0	0.1
Cost of Sales/Accounts Payable	27.6	20.6	21.3	18.9	23.7	23.6
Cost of Sales/Inventory	18.3	14.4	15.5	14.3	14.4	13.5
Profitability	2014	2015	2016	2017	2018	2019-Q2
EBITDA/Business Revenue (%)	2.2	2.4	1.5	n/a	n/a	n/a
Pre-Tax Return on Revenue (%)	1.6	1.7	0.8	-2.2	-3.6	-2.3
Efficiency	2014	2015	2016	2017	2018	2019-Q2
Days Inventory	20.0	25.4	23.6	25.5	25.4	27.1
Days Receivables	3.6	5.2	4.7	5.1	4.4	4.7
Gross Margin/Revenue	24.9	25.1	25.1	25.2	25.1	24.9
Inventory Turnover	24.3	19.2	20.6	19.1	19.2	17.9
Receivables Turnover	100.4	69.9	77.0	71.4	83.0	77.9
Debt-Risk	2014	2015	2016	2017	2018	2019-Q2
Long-Term Liabilities/Net Worth	0.5	0.4	0.5	0.5	0.6	0.6

Source: BizMiner Industry Financial Report NAICS 445120 (US Convenience Stores Industry Wide)
December 2019, as provided by BVResources.com

Exhibit 2 - Green Zebra Convenience Store Sales and Margins by Category

C-Store Sales by category, 2018

	<u>% of sales</u>
Groceries	50.0%
Tobacco	17.0%
Alcoholic beverages	14.0%
Prepared Foods	8.0%
Other	2.0%

Source: VerticalIQ

Access provided by biresources.com

C-Store Gross Profit margin by category, 2017

	<u>Gross Profit Margin (% of sales)</u>
Overall	25.2%
Candy	50.7%
Alternative snacks	48.3%
General merchandise	47.2%
Tobacco	45.0%
Packaged beverages	44.0%
Milk	30.6%
Beer	22.8%

Source: Statista

<https://www.statista.com/statistics/887938/convenience-store-profit-margin-us-product-category/>

Exhibit 3 - Green Zebra Positioning Matrix



Market	Us	Fast Casual	Modern Convenience	Natural Grocers	Traditional Convenience	Conventional Grocery
Participants		 	 	 	 	
Grocery	X			X		X
Convenient	X	X	X		X	
Healthy Focused	X	X		X		
Urban	X	X	X	X	X	X
Experiential	X		X			
High Service	X	X				
Work/ Hangout Spot	X	X				

Source: Company supplied internal document

Exhibit 4 - Green Zebra Selected Store and Corporate Level Data, 2017 – 2019e*

	<u>2017</u>	<u>2018</u>	<u>2019e¹</u>
Number of Stores	3	3	3
Employees, Total	94	104	105
Net Sales, Total	\$10,006,049	\$10,782,087	\$12,683,289
COGS, Total	\$6,329,714	\$6,697,427	\$7,765,068
Gross Margin	\$3,676,335	\$4,084,660	\$4,918,221
Sales (\$) and Gross Margin (%)	<u>2017</u>	<u>2018</u>	<u>2019e¹</u>
Grocery, including Dairy	5,364,723 51.6%	5,783,962 50.2%	6,846,623 56.3%
Beer	703,429 40.2%	759,975 45.0%	936,459 46.0%
Wine	588,807 51.0%	655,960 53.8%	794,028 54.3%
Coffee/Pastry	723,551 79.8%	786,374 82.6%	905,988 85.7%
Deli	2,553,949 77.6%	2,689,504 84.3%	3,068,200 85.2%
Store-Level Expenses			
Payroll	\$1,977,406	\$2,017,912	\$2,258,621
Benefits (Health Ins & other)	<u>325,777</u>	<u>366,973</u>	<u>412,533</u>
Payroll & Benefits	2,303,183	2,384,885	2,671,154
Advertising & Marketing	47,185	18,937	13,234
Store Occupancy Expense	859,967	909,222	973,086
Other Operating Exp	<u>589,457</u>	<u>545,357</u>	<u>97,565</u>
Total Store Operating Expense	\$3,799,791	\$3,858,400	\$ 4,355,039
Total Store Contribution	-\$123,456	\$226,259	\$563,183
Corporate-Level Expenses			
Payroll	\$591,155	\$627,401	\$792,727
Benefits	<u>114,938</u>	<u>96,832</u>	<u>112,121</u>
Payroll & Benefits	706,093	724,233	904,848
Advertising & Marketing	92,148	165,021	179,434
Occupancy Expense	33,795	37,647	54,868
Other Operating	<u>422,012</u>	<u>376,567</u>	<u>347,432</u>
Total Corporate Operating Expense	\$1,254,048	\$1,303,468	\$1,486,581

¹ forecast on 9/30/2019 for YE 2019. Source: Company supplied internal documents.

Exhibit 5 - Green Zebra Income Statement as of December 31, 2017 - 2019e¹

Number of Stores	3	3	3
	<u>2017</u>	<u>2018</u>	<u>2019e¹</u>
Sales	10,006,049	10,782,087	12,683,289
Cost of Sales	<u>6,329,714</u>	<u>6,697,427</u>	<u>7,765,068</u>
Gross Profit	3,676,335	4,084,660	4,918,221
Payroll & Benefits	3,009,276	3,109,118	3,576,002
Advertising & Marketing	139,333	183,958	192,668
Occupancy & Other	<u>1,905,230</u>	<u>1,868,793</u>	<u>2,072,950</u>
Total - Other Operating Expenses	5,053,839	5,161,868	5,841,619
EBITDA	(1,377,504)	(1,077,208)	(923,398)
Depreciation/Amortization	301,100	312,080	355,322
Interest Expense/(Income)	<u>555,022</u>	<u>452,291</u>	<u>433,114</u>
Income before Fed Income Tax	(2,233,625)	(1,841,579)	(1,711,834)
Income Tax ²	<u>11,252</u>	<u>15,421</u>	<u>16,129</u>
Net Income/(Loss)	(2,244,877)	(1,857,000)	(1,727,962)

¹ forecast on 9/30/2019 for YE 2019

² based upon minimum Oregon State tax due from all firms in size category regardless of profitability.

Source: Company supplied internal documents.

Exhibit 6 - Green Zebra Balance Sheet as of December 31, 2017 - 2019e¹

Number of Stores	3	3	3
ASSETS	<u>2017</u>	<u>2018</u>	<u>2019e¹</u>
Cash & Equivalents	271,249	376,420	991,610
Receivables	19,377	75,496	65,000
Inventory	441,123	489,220	558,779
Other Current Assets	<u>205,339</u>	<u>23,717</u>	<u>25,000</u>
Total Current Assets	937,085	964,854	1,640,389
Total LT Assets ²	<u>3,213,085</u>	<u>3,097,801</u>	<u>3,751,686</u>
Total Assets	4,150,171	4,062,655	5,392,075
LIABILITIES			
Accounts Payable	428,128	627,075	596,550
Other Current Liabilities	521,476	684,363	892,828
Line of Credit	<u>100,000</u>	<u>74,959</u>	<u>34,256</u>
Total Current Liabilities	1,049,604	1,386,397	1,523,634
Long Term Debt & LT Liabilities ²	4,660,101	6,095,693	7,019,863
Total Liabilities	5,709,705	7,482,089	8,543,497
NET WORTH			
Stockholder's Equity	7,180,157	7,177,255	9,173,230
Retained Earnings	(6,494,813)	(8,739,690)	(10,596,690)
Current Year Earnings	<u>(2,244,877)</u>	<u>(1,857,000)</u>	<u>(1,727,962)</u>
Total Net Worth	(1,559,532)	(3,419,435)	(3,151,422)
Total Liabilities & Net Worth	4,150,173	4,062,654	5,392,075

¹ forecast on 9/30/2019 for YE 2019

² reflects expected asset investment and financing for the 4th store, although the decision had not been finalized.

Source: Company supplied internal documents.

Exhibit 7 - Green Zebra Forecasting Assumptions and Relationships for 2020 through 2025

1-Store expansion in Portland

**Selected Financial
Information
Existing 3-store
Operation
(3 stores)**

	<u>2019e</u>	<u>2020</u>	<u>2021</u>	<u>2022</u>	<u>2023</u>	<u>2024</u>	<u>2025</u>
Sales		12,355,557	13,041,944	13,642,033	14,083,972	14,095,972	14,095,972
EBITDA		(359,449)	(77,149)	82,446	189,587	154,820	103,164
External Financing Needed	\$578,999	\$61,929	-\$199,826	-\$282,508	-\$372,990	-\$321,643	-\$211,115

Forecast: 3 existing stores plus 1-store Portland Expansion (4 stores)

Investment Related	<u>2020</u>	<u>2021</u>	<u>2022</u>	<u>2023</u>	<u>2024</u>	<u>2025</u>
Fixed assets, net (% of sales) ¹	18.7%	15.3%	12.8%	10.8%	9.5%	8.9%
Depreciation	\$420,072	\$402,711	\$326,661	\$311,583	\$263,919	\$125,551

Item	Basis	Forecast	
<u>Income Statement²</u>	% of:	<u>2020</u>	<u>After 2020:</u>
Sales growth rate		35.00%	7.0%, 5.0%, 4.0%, then steady state at 1.0%
Cost of goods sold	of sales	59.5%	leveling off at 58% by 2022
Payroll & Benefits	of sales	25.3%	falling to 24.0% by 2022
Occupancy & other	of sales	14.0%	falling to 12.3% by 2024
Advertising & Marketing	of sales	1.0%	constant
<u>Balance Sheet</u>			
Cash & Equivalents	% of sales	2.0%	constant
Inventories	% cost of good sold	6.3%	constant
Accounts payable	% cost of good sold	7.0%	constant
Other current liabilities	of sales	1.9%	constant

¹ New store investment reflected in 2019e fixed asset and debt forecasts; 2019e operating CFs reflect no new store investment.

² Inflation forecasts were included in forecast items but expected to be smaller than efficiency gains due to process improvements.

Source: Company supplied internal documents.

Exhibit 8 Green Zebra Shares outstanding before and after proposed VC investment

Investor	Shares Outstanding:	
	Existing 2019	w/ New VC Investment ¹
Sedlar	5,323,542	5,323,542
Other Investors	11,396,009	31,713,472
New Money	<u>-</u>	<u>11,146,367</u>
Total Shares	16,719,551	42,859,839

¹ 'Other' reflects new shares due to expected 2020 conversion of the convertible debt and exercise of existing options and warrants resulting from the proposed \$12 million in VC investment.

Source: Company estimates

Exhibit 9 - Green Zebra Selected Market and Financial Data for Selected Green Zebra Competitors, 2019

	Chipotle (CMG)	Sprouts Farmers Market (SFM)	Village Super Market (VLGEA)	Kroger (KR)	Casey's General Stores (CASY)	Alimentati on Couche Tard (ANCUF)	AHOLD (7-11) (ADARNY)	Wal-Mart (WMT)
Positioning ¹	Fast Casual	Natural & Organic	Grocery	Grocery	C-Store	C-Store	C-Store	Supercenters and Wholesalers
TTM Revenues (\$ Bil)	5.2	5.4	1.6	120.9	9.4	58.5	64.5	518.0
EBITDA (\$ Mil)	644.4	369.5	67.3	5.7 B	586.9	3.7 B	4.3 B	31.7
3 yr Revenue growth rate %	2.6%	13.2%	0.6%	3.3%	9.5%	20.1%	18.0%	2.2%
ROE %	17.0%	25.1%	7.9%	23.4%	15.7%	22.2%	12.4%	18.2%
ROIC %	6.0%	9.4%	6.7%	9.0%	8.0%	12.3%	10.8%	10.8%
EBITDA Margin %	12.4%	6.8%	4.1%	4.7%	6.3%	6.3%	6.7%	6.1%
Net Margin	4.8%	2.6%	1.5%	1.5%	2.3%	3.3%	2.7%	2.5%
Market Capitalization (\$ Bil)	23.4	2.3	372.7 M	20.6	6.2	35.2	27.2	334.5
Enterprise Value (\$ Bil)	14.5	3.9	316.9M	40.5	7.3	43.5	28.4	398.2
Book Value ²								
D/E	1.8	3.2	0.2	2.4	0.9	1.0	0.3	1.1
Interest Bearing Debt (\$ Bil)	2.7	1.7	0.1	20.6	1.4	9.4	3.9	74.7
Shareholders Equity (\$ Bil)	1.5	0.5	0.3	8.5	1.5	9.7	13.6	77.1
Bond Rating	na	na	na	Baa	na	na	na	AA

	Chipotle (CMG)	Sprouts Farmers Market (SFM)	Village Super Market (VLGEA)	Kroger (KR)	Casey's General Stores (CASY)	Alimentation Couche Tard (ANCUF)	AHOLD (7-11) (ADRNY)	Wal-Mart (WMT)
Beta coefficient	1.1	0.3	0.6	0.8	0.8	0.5	0.2	0.7
Ent. Value to EBITDA	39.0	10.5	4.7	7.3	12.5	11.7	5.9	12.6
Price/Sales	4.5	0.4	0.2	0.2	0.7	0.6	0.4	0.7
WACC ³ , % (2019)	8.6%	3.7%	5.3%	5.4%	6.2%	4.3%	1.6%	5.3%

Recent valuation discounts and premiums³:

Control Premium:	20.7%	Discounts:	Minority	17.1%	Liquidity:	20% - 30%
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Fast Casual
Beverage/Snack Retail
Quick Service Restaurants

17.2 7.3

35.6% 5.2%

6.2 0.4

2.3% 5.2%

¹ www.YahooFinance.com

³ www.gurufocus.com. WACC estimates based upon the Capital Asset Pricing Model.

³Source: Factset Mergerstat/BVR Control Premium Study (Grocery & convenience stores), 2010-2019

⁵Harris Williams Food and Beverage Industry Update, July 2019.

Exhibit 10 - Green Zebra Selected Financial Market Data

<u>Yield on US Treasuries¹</u>	<u>(%)</u>
1 Year	1.6%
10 Year	1.8%
20 Year	2.1%
30 Year	2.3%
 <u>Average Yields on US Corporate Bonds²</u>	 <u>(%)</u>
AA rated	2.3%
Triple B (Baa)	3.2%
Triple C (CCC)	11.8%
 <u>Market Risk Premiums</u>	 <u>(%)</u>
Damodaran Implied US Equity Risk Premium, 1928 - 2019 ³	5.9%
Duff & Phelps equity risk premium, 2019 ⁴	5.5%
	3.0% to
Corporate Equity - Corporate Debt Risk Premium ⁵	5.0%
CRSP 10th Decile Risk Premium (Re - Re _{S&P500}) ⁶	7.6%

¹ Bloomberg, as of October 30, 2019 and Federal Reserve Economic Data, Federal Reserve Bank of St. Louis.

² WSJ Tracking Bond Benchmarks, October 30, 2019

³ http://people.stern.nyu.edu/adamodar/New_Home_Page/datacurrent.html

⁴ <https://www.duffandphelps.com/insights/publications/valuation-insights/valuation-insights-first-quarter-2019/us-equity-risk-premium-recommendation>

⁵ Brigham & Daves, Intermediate Financial Management, 11th edition.

⁶ Center for Research in Security Prices (CRSP) data.

NOTES

¹ For example, Louise Kramer (Oct 15, 2018). "Green Zebra Grocery Wants to Conquer the West," GroceryDIVE, Retrieved August 6, 2019 from <https://www.grocerydive.com/news/green-zebra-grocery-wants-to-conquer-the-west-coast/538935/>.

² The 100 Women Building America's Most Innovative and Ambitious Businesses, Inc.com. Accessed 3/06/2020 from <https://www.inc.com/most-innovative-women-2019.html>

³ Food & Beverage Market Monitor, Moss Adams, Summer 2019.

⁴ Kaiyan, Darshon, IBISWorld Industry Report 44512 Convenience Stores in the US, April 2019.

⁵ Kaiyan, Darshon, IBISWorld Industry Report 44512 Convenience Stores in the US, April 2019.

⁶ Amazon Go. Wikipedia.com. Retrieved 2/28/2020 from https://en.wikipedia.org/wiki/Amazon_Go

⁷ Spencer Soper (9/19/2018), Amazon Will Consider Opening up to 3,000 Cashierless Stores by 2021, Bloomberg.com. Accessed 11/02/2019 from <https://www.bloomberg.com/news/articles/2018-09-19/amazon-is-said-to-plan-up-to-3-000-cashierless-stores-by-2021>

⁸ Green Zebra.com, retrieved August 6, 2019 from <https://www.greenzebragrocery.com/communitypartnership/>

⁹ Jeff Campbell. "What is the Profit Margin for Grocery Stores. Retrieved March 1, 2020 from <https://thegrocerystoreguy.com/what-is-the-profit-margin-for-grocery-stores/>

¹⁰ Patrick Nycz (January 8, 2019), Food Buyer's Roundtable Q&A #2: Food Industry Margins. Retrieved March 1, 2020 from <https://newpointmarketing.com/retail-food-industry-margins/>

¹¹ For example, Sebastian Janus (8/20/2018), The role of a CFO in a Startup vs Corporate. Accessed 5/25/2020 from <https://www.linkedin.com/pulse/role-cfo-startup-vs-corporate-sebastian-janus/>

¹² Angel financing is typically an individual, or group of individuals, who provides investment funds to a start-up business in exchange for an equity position. In recent years, angel investors have used online platforms (equity crowdfunding). This allows individual investors to organize themselves and collectively provide broader support to start-ups. It also provides for smaller equity investors to become involved in angel investing. A good reference on the topic is: Kerr, W., Nanda R., and J. McQuade. (2014). Entrepreneurial Reading: Financing Entrepreneurial Ventures, Core Curriculum, Product Number 8072-PDF-ENG. Harvard Business Publishing, 5th edition.

¹³ <https://circleup.com/>

¹⁴ A capitalization table, or 'cap table' shows a detailed breakdown of all equity owners in a company, by name, number of share held, and other characteristics associated with their equity position. While all companies have capitalization tables, it is not common to focus on ownership positions as much as in early stage financing.

¹⁵ Dana Kanze, Laura Huang, Mark A. Conley, and E. Tory Higgins (2018), "We ask men to win and women not to lose: Closing the gender gap in startup funding," Academy of Management Journal, Vol. 61(2), Published Online: 20 April 2018 <https://doi.org/10.5465/amj.2016.1215>

¹⁶ The MACRs rates for a 5 year equipment life were, respectively: 20.00%, 32.00%, 19.20%, 11.52%, 11.52% and 5.76%.

¹⁷ Andueza had learned from Factset Mergerstat data that control premiums in the food industry had averaged 21.7% over the 2010 – 2019 period. In addition, a review of one of her MBA texts (Higgins, 2016) had suggested that a marketability discount on the order of 25% was not uncommon.